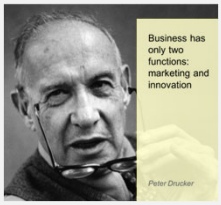
EAS5450-401 Final Exam
Tuesday, May 6th

Marketing Strategy

Creating, Capturing and Sustaining Value



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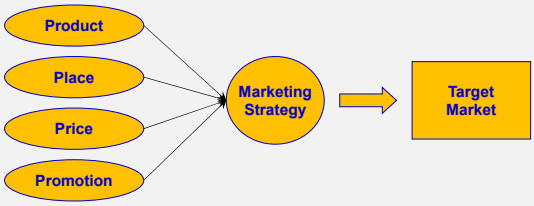
Product, Place, Price and Promotion

Components of "marketing mix"
- Combination of demand-influencing tactics
- Choose with respect to target market
- "Positions" the product: differentiation + segmentation
- Strategy allocates resources ($) to best mix



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4. Promotion

- Variables in the "Promotion Mix"
  - Sales promotion (samples, gifts, coupons)
  - Advertising
  - Publicity (no explicit cost for media)
  - Personal selling

3

Planning Communications…

The 6 M's Model

1. Market
   - … to whom?
2. Mission
   - … objective?
3. Message
   - … specifics?
4. Media
   - … vehicle?
5. Money
   - … cost vs budget?
6. Measurement
   - … assessment?

4

Promotion Tools

- Sales Promotion
  - Games, contests
  - Free samples
  - Trade shows
  - Coupons, trading stamps
  - Signs, displays
  - Price promotion
- Advertising
  - Print
  - Radio, TV
  - Internet
  - Billboards
  - Direct mail
  - Packaging logos
- Publicity
  - News stories
    - Print
    - Broadcast
  - Editorials
  - Speeches
  - Info-mercials
- Personal Selling
  - In-person presentations
  - Telemarketing

5

When to Use Personal Selling

"Push" Marketing

- Complex products
- Major, infrequent purchase decisions
- Demonstration of features desirable
- Customer trial desirable
- Short, direct channel to customer
- Product/service training needed by channel intermediaries
- Channel intermediaries have little resources or experience
- Price negotiation expected
- Price margin high enough to support direct sales
- Advertising / promotion links ineffective with customer

6

Promotion Mix Decision Criteria

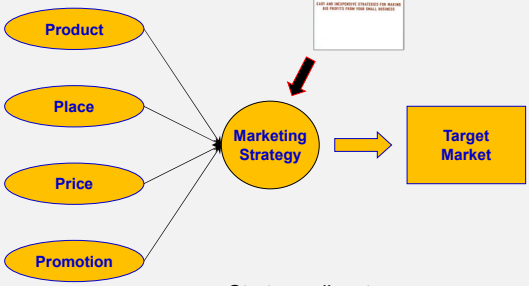
	Advertising	Sales Promotion	Publicity	Personal Selling
Cost per audience member	Low	Low	Very Low	Very High
Target focus	Poor to Good	Good	Moderate	Very Good
Complicated message delivery	Poor to Good	Poor	Poor to Good	Very Good
Dialogue (negotiation)	None	None	Low to Moderate	Very Good
Credibility	Low	Low	High	Moderate to High

7

The Reality

- … It's You
- Build and sell. Nothing else matters!
- Founder passion beats sales experience.

8



Strategy allocates resources (time and $) to the best mix.

9

EAS5450 Class #10

LinkedIn

Co-Founders:
Reid Hoffman
Konstantin Guericke

10

Positioning

- What segments has the team identified? How do they differ?
- How does LinkedIn differentiate?

LinkedIn

11

Customer scenarios are a great way to visualize a segment…

User
- Mary is a recruiter at Google

Current State
- She spends her days searching job boards like Monster and Craigslist and sifting through unsolicited resumes to find the rare engineer who is a fit for the company

Day in the Life
- On LinkedIn though she can search through millions of possible candidates whether on the job market or not, validating their skills through connections to other people she trusts

12

User
- Bob is the VP of finance in Google's HR department

Current State
- He's frustrated by the number of recruiters they need to employ and the time it takes for them to find suitable hires for the rapidly growing company.

Day in the Life
- With LinkedIn, his recruiting colleagues can be more efficient, requiring fewer recruiters with greater productivity to meet the demands of the business

13

User
- Nick is a student at Penn

Current State
- He's frustrated by the inefficiency of online job searches, lack of control of his online profile/personal branding, excessive online "friends", and unsolicited contacts and online spam.

Day in the Life
- With LinkedIn, he can rekindle relationships, keep track of friend's careers, control his online profile, discriminate his connections, personally and professionally network with others, job search, and be visible to prospective employers.

14

Revenue Model

- Premium-Priced Bundle?
- Fee for Bypassing Intermediaries?

15

Proposed New Premium Service Bundle

1. Who should I know?
   - Meet professionals well-connected to people you know.
2. Ask your network...
   - Message all your 1st and 2nd degree contacts at once.
3. Power Networker connection...
   - Identify yourself with direct connection to other Power Networkers.
4. Control request forwarding…
   - Choose direct, fast-forwarding path for contact requests.
5. Premium Subscriber identifier icon.
6. Reference search…
   - One-click search to find who in your network can give you a reference for a candidate or business partner.
7. 24-hour Premium Customer Service.
8. More requests…
   - Send up to 10 simultaneous contact requests to professionals you need to reach.

LinkedIn

16

Revenue Model

- Premium-Priced Bundle?
- Fee for Bypassing Intermediaries?

LinkedIn

17

InMail

- $10 per InMail message
- Subscription:
  - Basic: $15/mo = 3 InMail messages
  - Business: $50/mo = 10 InMail messages
  - Pro: $200/mo = 50 InMail messages
  - Pro+: $500/mo = 1,500 InMail messages
- Credit to sender if no reply
- Any member can opt out

LinkedIn

18

LinkedIn

- 5/19/2011 IPO priced @ $45/shr
- 1st day close: $94.25/shr
- 2/13/2015 peak @ $269/shr
- Friday 2/5/2016 lost 40% of value
- 6/13/2016 acquired by MSFT @ $196/shr

19

THE WALL STREET JOURNAL.
WSJ.com

February 5, 2016, 2:30 PM ET

The Nasdaq Bloodbath Led by LinkedIn, Tableau

By Maureen Farrell

Bloomberg News

Once again recession fears have investors running scared.

This time it's hitting tech stocks broadly, and those tech companies that provide support for corporate America, specifically. The Nasdaq Comp traded down 3% Friday. LinkedIn Corp. and Tableau Software Inc. are two of the biggest losers on the day.

Both companies' reported fourth-quarter earnings after the close Thursday that spooked investors. LinkedIn Corp. posted a fourth-quarter loss and gave weaker-than-expected forecast for 2016. Its stock recently traded down more than 40% to $112.12. Tableau Software Inc. fell even more, down 47% in recent trading after it reported results and guidance that fell below Wall Street estimates.

Some bears have long been warning that valuations in the "cloud" computer sector have been sky-high with investors focused on fast revenue growth rather than profitability. According to venture-capital firm Bessemer Venture Partners' cloud index, the average $1 billion-plus valued cloud company was trading at 7 times 2015 revenue as of yesterday's close.

If the pessimists are right, then these companies are very vulnerable to any suggestion that revenue growth might slow. Unlike other companies, they don't have a profit lever to pull to make up for any drop off in revenue growth.

Investors also raced out of other social-networking companies, pushing Twitter Inc. and Facebook Inc. down more than 5%. Pandora Media Inc. is down 4%. LendingClub Corp. is down 8%.

20

BUSINESS INSIDER

MICROSOFT BUYS LINKEDIN FOR $26.2 BILLION

STEVEN TWEEDIE
JUN. 13, 2016, 8:31 AM

Microsoft is buying LinkedIn for $26.2 billion, the company announced on Monday.

Microsoft will pay $196 per share for the company.

LinkedIn CEO Jeff Weiner will remain CEO of the social network for professionals, reporting directly to Microsoft CEO Satya Nadella.

Under the terms of the acquisition, LinkedIn will maintain its "distinct brand, culture, and independence" — similar to how Facebook handled its acquisition of WhatsApp — and Microsoft says LinkedIn cofounder and chairman Reid Hoffman and Weiner "both fully support" the purchase, with both boards signing off.

The deal is expected to be completed this calendar year.

LinkedIn shares jumped more than 47% following the news when the markets opened. Microsoft shares, which were halted in pre-market trading pending the news, have since reopened and fallen about 4%.

Microsoft CEO Satya Nadella.

21

World's Leading Professional Cloud +
World's Leading Professional Network

Microsoft • LinkedIn

A common mission centered on
empowering people and organizations

Empower every person and every organization on the planet to achieve more.

Connect the world's professionals to make them more productive and successful.

Connecting the professional world

1+ Billion
Microsoft Users

433+ Million
Members

Creating more connected, intelligent
and productive experiences

22

LNKD NASDAQ TWTR FB

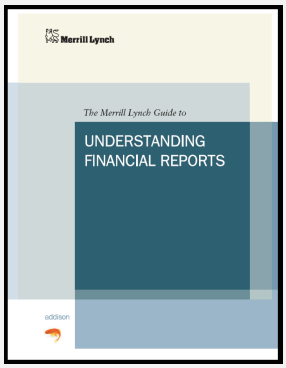
23

Understanding Financial Statements

EAS5450

Penn Engineering

24



Available in Canvas Files

25

Financial Statements

- **Income Statement**
  - Revenues – expenses = earnings
  - Over a period of time (e.g., quarterly, annually)
- **Balance Sheet**
  - Assets = liabilities + shareholders' equity
  - At a point in time (e.g., end of quarter, end of year)

26

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

Form 10-K

(Mark One)

☑ **ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the fiscal year ended January 31, 2020

or

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from _____ to _____

Commission File Number: 001-37867

Dell Technologies Inc.

(Exact name of registrant as specified in its charter)

Delaware	**80-0890963**
(State or other jurisdiction of incorporation or organization)	(I.R.S. Employer Identification No.)

One Dell Way, Round Rock, Texas 78682
(Address of principal executive offices) (Zip Code)

1-800-289-3355
(Registrant's telephone number, including area code)

27

DELL TECHNOLOGIES INC.

CONSOLIDATED STATEMENTS OF INCOME (LOSS)

(in millions, except per share amounts)

	Fiscal Year Ended		
	January 31, 2020	**February 1, 2019**	**February 2, 2018**
Net revenue:			
Products	$ 69,918	$ 70,707	$ 60,898
Services	22,236	19,914	18,142
Total net revenue	92,154	90,621	79,040
Cost of net revenue:			
Products	54,525	57,889	51,433
Services	8,606	7,679	7,070
Total cost of net revenue	63,221	65,568	58,503
Gross margin	28,933	25,053	20,537
Operating expenses:			
Selling, general, and administrative	21,319	20,640	18,569
Research and development	4,992	4,604	4,384
Total operating expenses	26,311	25,244	22,953
Operating income (loss)	2,622	(191)	(2,416)
Interest and other, net	(2,626)	(2,170)	(2,353)
Loss before income taxes	(4)	(2,361)	(4,769)
Income tax benefit	(5,533)	(180)	(1,843)
Net income (loss)	5,529	(2,181)	(2,926)
Less: Net income (loss) attributable to non-controlling interests	913	129	(77)
Net income (loss) attributable to Dell Technologies Inc.	$ 4,616	$ (2,310)	$ (2,849)

28

DELL TECHNOLOGIES INC.

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

(in millions)

	January 31, 2020	**February 1, 2019**
ASSETS		
Current assets:		
Cash and cash equivalents	$ 9,302	$ 9,676
Accounts receivable, net	12,484	12,371
Short-term financing receivables, net	4,895	4,398
Inventories, net	3,281	3,649
Other current assets	6,906	6,044
Total current assets	36,868	36,138
Property, plant, and equipment, net	6,055	5,259
Long-term investments	864	1,005
Long-term financing receivables, net	4,848	4,224
Goodwill	41,601	40,089
Intangible assets, net	18,107	22,270
Other non-current assets	10,428	2,835
Total assets	$ 118,861	$ 111,820
LIABILITIES, REDEEMABLE SHARES, AND STOCKHOLDERS' EQUITY (DEFICIT)		
Current liabilities:		
Short-term debt	$ 7,737	$ 4,320
Accounts payable	20,065	19,213
Accrued and other	9,773	8,495
Short-term deferred revenue	14,881	12,944
Total current liabilities	52,456	44,972
Long-term debt	44,319	49,201
Long-term deferred revenue	12,919	11,066
Other non-current liabilities	5,383	6,327
Total liabilities	115,077	111,566
Commitments and contingencies (Note 10)		
Redeemable shares (Note 17)	629	1,196
Stockholders' equity (deficit):		
Common stock and capital in excess of $0.01 par value (Note 14)	16,091	16,114
Treasury stock at cost	(65)	(63)
Accumulated deficit	(16,891)	(21,349)
Accumulated other comprehensive loss	(709)	(667)
Total Dell Technologies Inc. stockholders' deficit	(1,574)	(5,765)
Non-controlling interests	4,729	4,823
Total stockholders' equity (deficit)	3,155	(942)
Total liabilities, redeemable shares, and stockholders' equity (deficit)	$ 118,861	$ 111,820

Assets Dell Owns

Liabilities Dell Owes

Dell's Net Worth

29

Income Statement

Sales revenues during period
- Expenses related to these sales
= Net income (earnings) during period

Based on the "Matching" Principle

30

XYZ COMPANY INCOME STATEMENT

(Dollars in thousands except per-share amounts)

		Year Ended June 30,	
		2007	2006
1.	Net Sales	$765,000	$725,000
2.	Cost of Sales	535,000	517,000
GROSS MARGIN		230,000	208,000
3.	Selling expenses	76,500	84,000
4.	General and administrative expenses	20,300	25,500
5.	Depreciation and amortization	28,060	25,000
OPERATING INCOME		105,140	73,500
6.	Dividend and interest income	5,200	10,000
7.	Interest expense	16,250	16,750
INCOME BEFORE TAXES		94,090	66,750
8.	Income taxes	41,400	26,250
9.	Extraordinary income (loss)	0	0
NET INCOME		$52,690	$40,500

31

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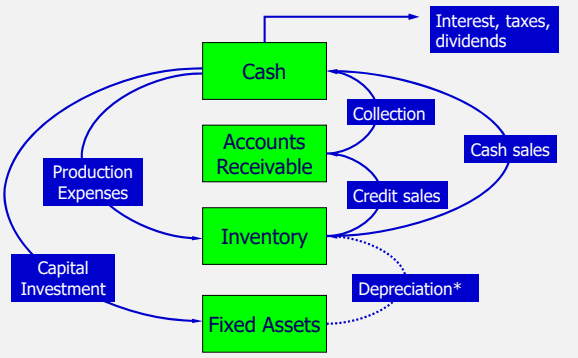
5.	Depreciation and	28,060	25,000
OPERATING INCOME		105,140	73,500
6.	Dividend and interest income	5,200	10,000
7.	Interest expense	16,250	16,750
INCOME BEFORE TAXES		94,090	66,750
8.	Income taxes	41,400	26,250
9.	Extraordinary income (loss)	0	0
NET INCOME		$52,690	$40,500

Net Sales:
Sales revenues net of returned goods and discounts. Booked at time of sale.

32

Cash Flow Cycle…



* Non-Cash Item

33

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NET INCOME		$52,690	$40,500

Cost of Sales:
- a.k.a. "Cost of Goods Sold"
- Cost to purchase and convert raw materials into finished products; e.g., direct materials, direct labor, manufacturing overhead, manufacturing depreciation, etc.

34

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8.	Income taxes	41,400	26,250
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Selling Expenses:
Sales agents' salaries, commissions, advertising, promotions, travel and entertainment.

35

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3.	Selling expenses		
4.	General and administrative expenses		
5.	Depreciation and amortization		
OPERATING INCOME			
6.	Dividend and interest income		
7.	Interest expense		
INCOME BEFORE TAXES		94,090	66,750
8.	Income taxes	41,400	26,250
9.	Extraordinary income (loss)	0	0
NET INCOME		$52,690	$40,500

"G&A" Expenses:
General and administrative executives' salaries, office staff payroll, office expenses, etc..

36

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3.	Selling expenses	76,500	84,000
4.	General and administrative expenses		5,500
5.	Depreciation and amortization		5,000
OPERATING INCOME			3,500
6.	Dividend and interest income		0,000
7.	Interest expense		6,750
INCOME BEFORE TAXES			6,750
8.	Income taxes		6,250
9.	Extraordinary income (loss)		0
NET INCOME		$52,690	$40,500

Depreciation:
Allocates a capital investment in tangible property, plant and equipment ("PP&E") over its economic useful life.

37

- Investment in facility: $100,000 (Year 1)
- Life of facility: 5 years
- Net Income produced by facility: $50,000/year

CASHFLOW	Year 1	Year 2	Year 3	Year 4	Year 5
Capital Investment	-$100,000				
Production Income	50,000	50,000	50,000	50,000	50,000
Net Cashflow	-$50,000	$50,000	$50,000	$50,000	$50,000

INCOME STMT	Year 1	Year 2	Year 3	Year 4	Year 5
Depreciation	-$20,000	-$20,000	-$20,000	-$20,000	-$20,000
Production Income	50,000	50,000	50,000	50,000	50,000
Net Income	$30,000	$30,000	$30,000	$30,000	$30,000

The "Matching Principle"

38

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4.	General and administrative expenses		00
5.	Depreciation and amortization		00
OPERATING INCOME			00
6.	Dividend and interest income		00
7.	Interest expense		50
INCOME BEFORE TAXES			50
8.	Income taxes		50
9.	Extraordinary income (loss)	0	0
NET INCOME		$52,690	$40,500

Amortization:
Similar to depreciation but applied to intangible property such as patents and goodwill.

39

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OPERATING INCOME			73,500
6.	Dividend and interest income		10,000
7.	Interest expense		16,750
INCOME BEFORE TAXES			66,750
8.	Income taxes		26,250
9.	Extraordinary income (loss)	0	0
NET INCOME		$52,690	$40,500

Dividends and Interest:
Revenue from Company's investment in stocks and bonds.

40

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5.	Depreciation and amortization	28,060	25,000
OPERATING INCOME		105,140	73,500
6.	Dividend and interest income		,000
7.	Interest expense		,750
INCOME BEFORE TAXES			,750
8.	Income taxes		,250
9.	Extraordinary income (loss)		0
NET INCOME			,500

Interest Expense:
Interest charges paid to lenders on loans, debentures and other long-term debt during the accounting period.

41

XYZ COMPANY INCOME STATEMENT

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INCOME BEFORE TAXES		94,090	66,750
8.	Income taxes	41,400	26,250
9.	Extraordinary income	0	0
NET INCOME		52,690	$40,500

Income Taxes:
Local, state and federal corporate income taxes net of credits and deductions.

42

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8.	Income taxes		26,250
9.	Extraordinary income (loss)		0
NET INCOME			$40,500

Extraordinary Item(s):
Income or losses attributable to unusual and infrequent events.

43

Income Statement Analysis

XYZ COMPANY INCOME STATEMENT - PERFORMANCE ANALYSIS
(Dollars in thousands)

		Year Ended June 30,			
		2007		2006	
1.	Net Sales	$765,000	100.0%	$725,000	100.0%
2.	Cost of Sales	535,000	69.9%	517,000	71.3%
GROSS MARGIN		230,000	30.1%	208,000	28.7%
3.	Selling expenses	76,500	10.0%	84,000	11.6%
4.	General and administrative expenses	20,300	2.7%	25,500	3.5%
5.	Depreciation and amortization	28,060	3.7%	25,000	3.4%
OPERATING INCOME		105,140	13.7%	73,500	10.1%
6.	Dividend and interest income	5,200	0.7%	10,000	1.4%
7.	Interest expense	16,250	2.1%	16,750	2.3%
INCOME BEFORE TAXES		94,090	12.3%	66,750	9.2%
8.	Income taxes	41,400		26,250	
9.	Extraordinary income (loss)	0		0	
NET INCOME		$52,690	6.9%	$40,500	5.6%

44

But remember…

"Cash is King"

… not net income, profits or earnings.

Peter Drucker (1909-2005)

45

Balance Sheet

ASSETS – LIABILITIES = SHAREHOLDERS' EQUITY
(own) (owe) (net worth)

46

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
NET PROPERTY, PLANT & EQUIPMENT	260,000	249,600
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(450)	(390)
NET INTANGIBLES	1,950	2,010
22. Other assets	0	0
TOTAL ASSETS	$667,750	$631,610
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	51,000	61,000
25. Other accrued expenses	30,000	36,000
26. Income taxes payable	17,000	15,000
27. Current portion of long-term debt	6,000	
TOTAL CURRENT LIABILITIES	176,000	181,000
28. Long-term debt	130,000	136,000
29. Deferred income taxes	16,000	9,000
TOTAL LIABILITIES	$322,000	$326,000
30. Preferred stock (7.5% cumulative): $100 par value	6,000	6,000
31. Common stock: $5 par value (20,000,000 shares authorized) 15,000,000 shares issued and outstanding 2007 14,500,000 shares issued and outstanding 2006	75,000	72,500
32. Additional paid-in capital	20,000	13,500
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

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47

Assets

- All property owned by the company including uncollected amounts ("Receivables") due from customers.
- "**Current Assets**" include cash and assets that will be turned into cash within the next 12 months.

48

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents		
13. Marketable securities		
14. Accounts receivable		
15. Less: allowances for doubtful accounts		
16. Inventories		
17. Prepaid expenses and other current assets		
TOTAL CURRENT ASSETS		
18. Property, plant and equipment		
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Cash & Equivalents:
- Money in the bank
- Petty cash on hand
- Highly liquid securities (e.g. Gov't T-Bills)

49

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents		
13. Marketable securities		
14. Accounts receivable		
15. Less: allowances for doubtful acc		
16. Inventories		
17. Prepaid expenses and other curren		
TOTAL CURRENT ASSETS		
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Marketable Securities:
Company's investments in readily salable stocks, bonds or other securities.

50

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$10,500	$15,000
13. Marketable securities		
14. Accounts receivable		
15. Less: allowances for doub		
16. Inventories		
17. Prepaid expenses and other curr		
TOTAL CURRENT ASSETS		
18. Property, plant and equipment		
19. Less: accumulated depreciation		
NET PROPERTY, PLANT & EQUIPM		
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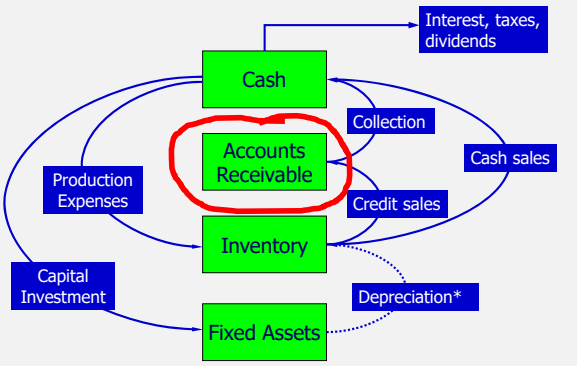
Accounts Receivable:
Amounts due from credit sales to customers not yet collected less allowances for amounts that are likely uncollectable.

51

Cash Flow Cycle…



* Non-Cash Item

52

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
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16. Inventories		185,000
17. Prepaid expenses		3,000
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Inventories:
- Raw materials
- Unfinished goods
- Unsold finished goods

53

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(Dollars in thousands)

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Prepaid Expenses: Expenses paid in advance, the benefits for which will be received after the Balance sheet Date (e.g., pre-paid insurance premiums).

54

Non-Current Assets

55

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(Dollars in thousands)

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PP&E:
Original cost of land, buildings, machinery, equipment, furniture, vehicles, etc.

56

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

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12. Cash and cash equivalents	$19,500	$15,000
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Accumulated Depreciation: The total amount of depreciation expensed on the Income Stmt for PP&E from the date of purchase to the Balance Sheet date.

57

- Investment in facility: $100,000 (Year 1)
- Life of facility: 5 years

INCOME STMT	Year 1	Year 2	Year 3	Year 4	Year 5
Depreciation	-$20,000	-$20,000	-$20,000	-$20,000	-$20,000

BALANCE SHEET	Year 1	Year 2	Year 3	Year 4	Year 5
PP&E	$100,000	$100,000	$100,000	$100,000	$100,000
Accumulated Dprcn	$20,000	$40,000	$60,000	$80,000	$100,000
Net PP&E*	$80,000	$60,000	$40,000	$20,000	$0

*Asset Book Value = Cost – Accumulated Depreciation

58

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
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Intangible Assets:
Original cost of acquiring patents, franchises, "goodwill," etc.

59

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(Dollars in thousands)

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Accumulated Amortization:
The total amount of amortization expensed on the Income Stmt for Intangible Assets from the date of acquisition to the Balance Sheet date.

60

Liabilities

- All debts and amounts owed by the company to others.
- "**Current Liabilities**" include obligations of the company due and payable within the next 12 months.

61

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
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Accounts Payable:
Amounts the Company owes to suppliers as of the Balance Sheet date for goods or services bought on credit.

62

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

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Notes Payable:
Money owed by the Company under short-term promissory notes (e.g., the unpaid balance of a bank loan).

63

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
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32. Additional paid-in capital	20,000	13,500
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

Other Accrued Expenses:
Salaries and wages, interest on notes and bonds, etc. owed but unpaid as of the Balance Sheet date.

64

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
NET PROPERTY, PLANT & EQUIPMENT	260,000	249,600
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(450)	(390)
NET INTANGIBLES	1,950	2,010
22. Other assets	0	0
TOTAL ASSETS	$667,750	$631,610
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	51,000	61,000
25. Other accrued expenses		
26. Income taxes payable		
27. Current portion of long-term de		
TOTAL CURRENT LIABILITIES		
28. Long-term debt		
29. Deferred income taxes		
TOTAL LIABILITIES		
30. Preferred stock (7.5% cumulative): $		
31. Common stock: $5 par value (20,000,000 shares authorized)	75,000	72,500
15,000,000 shares issued and outstanding 2007		
14,500,000 shares issued and outstanding 2006		
32. Additional paid-in capital	20,000	13,500
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

Income Taxes Payable:
Amounts due to taxing authorities within 12 months of the Balance Sheet date.

65

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
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20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(450)	(390)
NET INTANGIBLES	1,950	2,010
22. Other assets	0	0
TOTAL ASSETS	$667,750	$631,610
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	51,000	61,000
25. Other accrued expenses		
26. Income taxes payable		
27. Current portion of long-term debt		
TOTAL CURRENT LIABILITIES		
28. Long-term debt		
29. Deferred income taxes		
TOTAL LIABILITIES		
30. Preferred stock (7.5% cumulative): $100 par		
31. Common stock: $5 par value (20,000,000 sha		
15,000,000 shares issued and outstanding		
14,500,000 shares issued and outstanding		
32. Additional paid-in capital	[illegible]	[illegible]
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

Current Portion of Long-Term Debt:
Any long-term debt due and payable by the Company within 12 months of the Balance Sheet date.

66

Non-Current Liabilities

67

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
NET PROPERTY, PLANT & EQUIPMENT	260,000	249,600
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(450)	(390)
NET INTANGIBLES	1,950	2,010
22. Other assets	0	0
TOTAL ASSETS	$667,750	$631,610
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	51,000	61,000
25. Other accrued expenses	30,000	36,000
26. Income taxes payable	17,000	15,000
27. Current portion of long-term debt	6,000	
TOTAL CURRENT LIABILITIES		
28. Long-term debt		
29. Deferred income taxes		
TOTAL LIABILITIES		
30. Preferred stock (7.5% cumula		
31. Common stock: $5 par value (		
15,000,000 shares issued a		
14,500,000 shares issued and outstanding 2006		
32. Additional paid-in capital	20,000	13,500
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

Long-Term Debt:
All debt due after 12 months from the Balance Sheet date.

68

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
NET PROPERTY, PLANT & EQUIPMENT	260,000	249,600
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(450)	(390)
NET INTANGIBLES	1,950	2,010
22. Other assets	0	0
TOTAL ASSETS	$667,750	$631,610
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	51,000	61,000
25. Other accrued expenses	30,000	36,000
26. Income taxes payable		
27. Current portion of long-term debt		
TOTAL CURRENT LIABILITIES		
28. Long-term debt		
29. Deferred income taxes		
TOTAL LIABILITIES		
30. Preferred stock (7.5% cumulative): $10		
31. Common stock: $5 par value (20,000,0		
15,000,000 shares issued and outsta		
14,500,000 shares issued and outsta		
32. Additional paid-in capital		
33. Retained earnings		
TOTAL SHAREHOLDERS' EQUITY		
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

Deferred Income Taxes:
Tax liabilities the Company has delayed paying until some future time – typically from tax incentives such as accelerated Depreciation.

69

XYZ COMPANY BALANCE SHEET

(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
NET PROPERTY, PLANT & EQUIPMENT	260,000	249,600
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
	(450)	(390)
	1,950	2,010
	0	0
	$667,750	$631,610
	$72,000	$69,000
	51,000	61,000
	30,000	36,000
26. Income taxes p	17,000	15,000
27. Current portion of l	6,000	
TOTAL CURRENT LIABILI	176,000	181,000
28. Long-term debt	130,000	136,000
29. Deferred income taxes	16,000	9,000
TOTAL LIABILITIES	$322,000	$326,000
30. Preferred stock (7.5% cumulative): $100 par value	6,000	6,000
31. Common stock: $5 par value (20,000,000 shares authorized) 15,000,000 shares issued and outstanding 2007 14,500,000 shares issued and outstanding 2006	75,000	72,500
32. Additional paid-in capital	20,000	13,500
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

Assets – Liabilities = Shareholders' Equity:
The net worth of the Company owned by the shareholders.

70

Shareholders' Equity

30. Preferred Stock

- Ownership interests having priority over common stock with regard to dividend payments from earnings, and distribution of assets in case of liquidation
- Reported at "par value" which is a nominal face value assigned by the issuer
- Dividend is fixed -- no upside
- Generally no voice in the company unless VC investor with Board seat(s).

31. Common Stock

- Reported at "par value"
- Dividends subordinate to Preferred but no limit when earnings are high
- Generally have voting rights in shareholder meetings

32. Additional Paid-in Capital

- The amount paid for stock by shareholders in excess of the "par value"

71

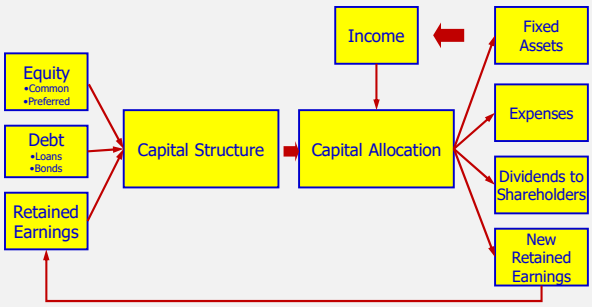
Shareholders' Equity (Cont'd)

33. Retained Earnings

- Accumulated net income (loss) less preferred and common stock dividends paid during each year of the company's existence up to the Balance Sheet date

72

Retained earnings…



73

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,500	$15,000
13. Marketable securities	46,300	32,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	4,000	3,000
TOTAL CURRENT ASSETS	405,800	380,000
18. Property, plant and equipment	385,000	346,600
19. Less: accumulated depreciation	(125,000)	(97,000)
NET PROPERTY, PLANT & EQUIPMENT	260,000	249,600
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(450)	(390)
NET INTANGIBLES	1,950	2,010
22. Other assets	0	0
TOTAL ASSETS	$667,750	$631,610
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	51,000	61,000
25. Other accrued expenses	30,000	36,000
26. Income taxes payable	17,000	15,000
27. Current portion of long-term debt	6,000	
TOTAL CURRENT LIABILITIES	176,000	181,000
28. Long-term debt	130,000	136,000
29. Deferred income taxes	16,000	9,000
TOTAL LIABILITIES	$322,000	$326,000
30. Preferred stock (7.5% cumulative): $100 par value	6,000	6,000
31. Common stock: $5 par value (20,000,000 shares authorized) 15,000,000 shares issued and outstanding 2007 14,500,000 shares issued and outstanding 2006	75,000	72,500
32. Additional paid-in capital	20,000	13,500
33. Retained earnings	244,750	213,610
TOTAL SHAREHOLDERS' EQUITY	$345,750	$305,610
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$667,750	$631,610

74

References

- Berman, K. and J. Knight, "Financial Intelligence for Entrepreneurs: What You really Need to Know About the Numbers." Harvard Business Press, 2008.
- Higgins, R.C., "Analysis for Financial Management" 7th Ed., McGraw-Hill, 2004
- Yahoo! Financial Glossary: http://finance.yahoo.com/education
- "Guide to Understanding Financial Reports," Merrill Lynch, 2003

75

Key Financial Ratios

XYZ COMPANY INCOME STATEMENT
(Dollars in thousands except per-share amounts)

		Year Ended June 30, 2007	Year Ended June 30, 2006
1.	Net Sales	$765,000	$725,000
2.	Cost of Sales	535,000	517,000
GROSS MARGIN		230,000	208,000
3.	Selling expenses	76,500	84,000
4.	General and administrative expenses	20,300	25,500
5.	Depreciation and amortization	28,060	25,000
OPERATING INCOME		105,140	73,500
6.	Dividend and interest income	5,200	10,000
7.	Interest expense	16,250	16,750
INCOME BEFORE TAXES		94,090	66,750
8.	Income taxes	41,400	26,250
9.	Extraordinary income (loss)	0	0
NET INCOME		$52,690	$40,500

XYZ COMPANY BALANCE SHEET
(Dollars in thousands)

	June 30, 2007	June 30, 2006
ASSETS		
12. Cash and cash equivalents	$19,900	$19,000
13. Marketable securities	1,000	1,000
14. Accounts receivable	162,000	150,000
15. Less: allowances for doubtful accounts	(6,000)	(5,000)
16. Inventories	180,000	185,000
17. Prepaid expenses and other current assets	8,000	8,000
18. TOTAL CURRENT ASSETS	405,000	358,000
19. Property, plant and equipment	650,000	558,000
19. Less: accumulated depreciation	(310,000)	(297,000)
NET PROPERTY, PLANT & EQUIPMENT	340,000	261,000
20. Intangible assets (goodwill, patents, etc.)	2,400	2,400
21. Less: accumulated amortization	(400)	(400)
NET INTANGIBLES	2,000	2,000
22. Other assets	10,000	2,000
TOTAL ASSETS	$757,000	$623,000
LIABILITIES AND SHAREHOLDERS' EQUITY		
23. Accounts payable	$72,000	$69,000
24. Notes payable	61,000	61,000
25. Accrued expenses	35,000	36,000
26. Income taxes payable	18,000	15,000
27. Current portion of long-term debt	2,000	-
TOTAL CURRENT LIABILITIES	176,000	181,000
28. Long-term debt	150,000	136,000
29. Deferred income taxes	12,000	10,000
TOTAL LIABILITIES	338,000	326,000
30. Preferred stock (7.8% cum dividend; $100 par value	6,000	6,000
31. Common stock ($1 par value (20,000,000 shares authorized; 16,000,000 shares issued and outstanding 2007	75,000	72,400
32. Treasury stock (shares issued and outstanding 2006	-	-
Additional paid-in capital	20,000	13,000
33. Retained earnings	318,000	215,600
TOTAL SHAREHOLDERS' EQUITY	419,000	297,000
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$757,000	$623,000

76

- **INVENTORY TURNOVER:**

$$\frac{\text{COGS}}{\text{Inventory}} \text{ or } \frac{365}{\text{COGS/Inventory}}$$

XYZ Company 2007

$$\frac{535}{180} = 3X \text{ or } 123 \text{ Days}$$

vs 131 Days in 2006

- **COLLECTION PERIOD:**

$$\frac{\text{Accts Receivable}}{\text{Sales/365}}$$

$$\frac{162}{765/365} = 77 \text{ Days}$$

vs 76 Days in 2006

- **DAYS OF PAYABLES:**

$$\frac{\text{Accts Payable}}{\text{COGS/365}}$$

$$\frac{72}{535/365} = 49 \text{ Days}$$

vs 49 Days in 2006

77

- **CURRENT RATIO:**

$$\frac{\text{Current Assets}}{\text{Current Liabilities}}$$

XYZ Company 2007

$$\frac{406}{176} = 2.3\ X$$

vs 2.1X in 2006

- **QUICK RATIO ("ACID TEST"):**

$$\frac{\text{(Current Assets) - (Inventory)}}{\text{Current Liabilities}}$$

$$\frac{406 - 180}{176} = 1.3\ X$$

vs 1.1X in 2006

- **RETURN ON EQUITY (ROE):**

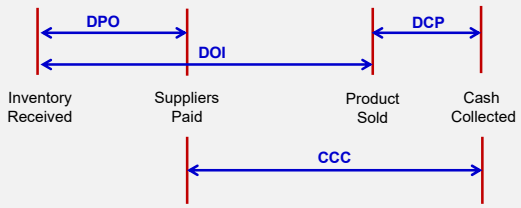
$$\frac{\text{Earnings}}{\text{Shareholders' Equity}}$$

$$\frac{52.7}{346} = 15.2\%\ p.a.$$

vs 13.3% in 2006

78

Cash Conversion Cycle

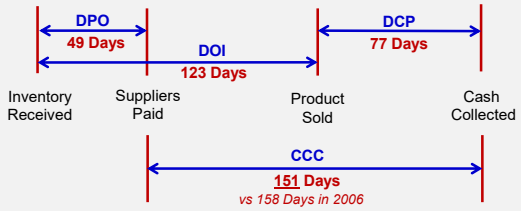


- DPO: Days Payables Outstanding = Accts Payable / (COGS/365)
- DOI: Days of Inventory = Inventory / (COGS/365)
- DCP: Days Collection Period = Accts Receivable / (Sales/365)
- **CCC = DOI + DCP - DPO**

79

Cash Conversion Cycle

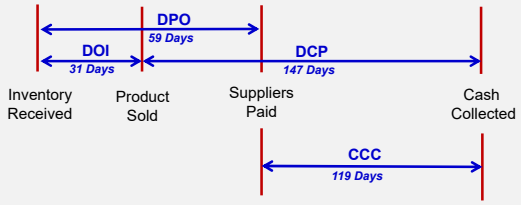
XYZ Company 2007



- DPO: Days Payables Outstanding = Accts Payable / (COGS/365)
- DOI: Days of Inventory = Inventory / (COGS/365)
- DCP: Days Collection Period = Accts Receivable / (Sales/365)
- **CCC = DOI + DCP - DPO**

80

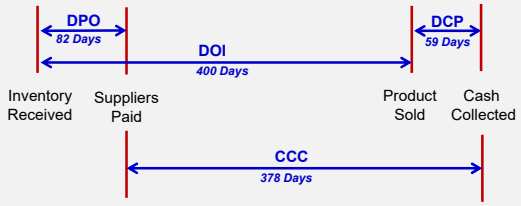
Cash Conversion Cycle



- DPO: Days Payables Outstanding
- DOI: Days of Inventory
- DCP: Days Collection Period
- **CCC = DOI + DCP - DPO**

81

Cash Conversion Cycle



- DPO: Days Payables Outstanding
- DOI: Days of Inventory
- DCP: Days Collection Period
- **CCC = DOI + DCP - DPO**

82